

My Worst Trades

I WAS ON BLOOMBERG TV one day, when anchor Tom Keene surprised me with this question: “What is your best Apple story?”²³¹

I said that in the early 2000s I managed to snag a pre-release loaner iPod. It was obviously a new, digital version of the ubiquitous 1980s Sony Walkman. At the time, Apple’s shares were trading at \$15, with \$13 a share in cash on the balance sheet. I did not see a lot of risk in the shares. I pitched it to my firm’s 800 or so brokers, many of whom bought big blocks of shares for their clients.

Soon after the shares had shot up to \$20 and the brokers began to sell. “Up big, 33%, gotta ring the bell,” is what I was told. I held on, and finally sold when my rising stop loss was triggered on a pullback after the shares reached \$45, leaving me with a 300% gain.

“A triple!” I smugly chided the brokers, in what was the **worst sale I ever made**.

In a career filled with other bad trades, missed opportunities, and judgment errors, some fails stand out. Not just for the lost money, but for the lessons learned:

Apple at \$15

I may have paid \$15 a share, but that was numerous splits ago,²³² which means that had I held on to that Apple stock through last year, my post-split cost basis would have been 26.78 cents per share. That was about \$2.4 trillion dollars ago in Apple’s market capitalization.

From this I learned two lessons: The first and obvious one was to avoid too tight stop losses. I was raising my stop with each \$10 gain; a \$13 stop on a \$15 purchase became \$23 once the price crossed \$25. Volatility guaranteed that such a tight stop would eventually get executed.